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From: Denne, Karen

Sent: Friday, September 07, 2001 9:47 AM

To: Sanders, Richard B.; Dasovich, Jeff; Mara, Susan

Subject: Protective Order Articles

California; Metro Desk

The State Enron Records to Stay Secret Court: A judge orders confidentiality for the power firm's documents. A Senate panel probing electricity price gouging has subpoenaed them.

NANCY VOGEL

TIMES STAFF WRITER

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SACRAMENTO -- Enron Corp., the giant Texas-based seller of electric power, won a court ruling Thursday in its quest to guarantee the secrecy of hundreds of thousands of internal business documents sought by state lawmakers.

A Senate committee investigating price gouging in California's wholesale electricity market subpoenaed Enron's documents in April, seeking records of electricity sales, bidding strategies, prices and out-of-state transactions.

The company refused to make the documents available without a court order protecting the confidentiality of the records. Enron sued July 11, and on Thursday Sacramento County Superior Court Judge Charles C. Kobayashi granted the company's request for a protective order.

The judge noted in his order that Enron is a business competitor of the California Department of Water Resources, which began buying electricity on behalf of the state's two largest utilities last January.

"Although the committee argues that the Senate is not in competition with plaintiff," wrote Kobayashi, "the functions of the Senate and the Department of Water Resources are intertwined in so many ways that there is no doubt that not only may there be appearances of conflict, actual conflicts can arise."

Kobayashi's order is a reversal of an earlier, tentative ruling, in which he concluded that imposing a protective order for Enron would be an "unacceptable" intrusion by the courts into the internal operations of the Legislature.

Karen Denne, a spokeswoman for the Houston-based company, described executives as "very pleased" with the court ruling. "Turning over the documents was never the issue," she said, "The issue was always protecting our rights."

Enron officials will work with committee Chairman Sen. Joe Dunn (D-Santa Ana) to craft an agreement that details which documents will be reviewed by the eight lawmakers and their aides, Denne said.

Reliant Energy of Houston, another company that resisted demands for business records, on Wednesday signed a confidentiality agreement with Dunn's committee and will begin bringing 250,000 documents to a depository in Sacramento, said Reliant spokesman Marty Wilson. Dunn said other companies have begun to deliver documents to Sacramento, but not all are fully complying with subpoenas.

"There are some major holes that have to be plugged by the market participants," he said.

On July 21, the Senate Select Committee to Investigate Price Manipulation of the Wholesale Energy

Market voted to recommend that Enron be cited for contempt for not turning over its documents. The full Senate has yet to vote on that recommendation. The committee, which the Senate created in March, has focused its investigation on the private companies that purchased power plants after California moved to deregulate its electricity market in 1996.

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Sept. 7, 2001

Briefs: City & State

California judge says no to Enron subpoena

SACRAMENTO, Calif. -- Enron Corp. received a protective order Thursday for documents subpoenaed by a California state Senate committee.

Sacramento Superior Court Judge Charles Kobayashi ruled that Houston-based Enron can prevent the legislative panel from sharing information in the thousands of documents relating to energy trading in California.

"Once the confidential information is disclosed, no amount of sanctions will be able to rectify the damage that might be caused," Kobayashi wrote in his order.

The Senate committee requested documents including e-mails, phone logs, financial records and records of any Enron "trading strategies." The panel is probing whether generators manipulated the power market.

Enron Wins Document Protection Order From Calif Judge

By Jessica Berthold

09/06/2001

Dow Jones Energy Service

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OF DOW JONES NEWSWIRES

LOS ANGELES -(Dow Jones)- A Sacramento Superior Court judge Thursday ruled that Enron Corp (ENE) must comply with a legislative subpoena of financial documents, but reversed an earlier decision and granted the company a protective order of the documents, according to a copy of the ruling seen by Dow Jones Newswires.

Enron said the ruling was a victory, as the company has always maintained it would be happy to comply with the subpoena by the state Senate committee as long as the company received a protective order.

"We are obviously very happy with the ruling and look forward to working with the committee to come up with a protective order that truly protects our proprietary information," said Enron spokesman Mark Palmer.

The Senate Select Committee To Investigate Market Manipulation has already cited Enron and Reliant Energy, Inc (REI) with contempt for refusing to provide documents, a charge for which the companies could be fined.

Once Enron and the committee draft a protective order and the judge agrees to it, the company will hand over any documents that the committee wants, Palmer said.

However, an attorney for the committee expressed skepticism that the company would actually follow through.

"We have no indication from Enron that they would agree to produce the documents we've requested, even with the confidentiality order," said Larry Drivon, special counsel to the committee. He added that he could not speculate if the committee would drop its contempt charge if Enron did produce all requested documents.

In his decision granting the protective order, Judge Charles Kobayashi wrote that he was not convinced the committee has solid standards in place to ensure Enron's protection.

"It is clear that there are no standards for determining what are the available protections, no procedure for determining what is a legitimately confidential, privileged, proprietary matter, no procedure for oversight and no prescribed remedy for (Enron) for any unauthorized disclosures," Kobayashi wrote.

Last week, a San Francisco Superior Court judge granted Enron a protective order in a separate investigation by the state attorney general.

-By Jessica Berthold; Dow Jones Newswires; 323-658-3872; jessica.berthold@dowjones.com

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USA: Enron must give documents to Calif. lawmakers-judge.

09/06/2001

Reuters English News Service

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SAN FRANCISCO, Sept 6 (Reuters) - Enron Corp. must turn over sensitive financial documents to a state Senate committee probing charges of price gouging during the state's energy crisis, a California judge ruled on Thursday.

But Sacramento Superior Court Judge Charles Kobayashi also ruled lawmakers must provide Enron with a confidentiality agreement, saying he was not convinced the committee would respect the firm's right to maintain proprietary secrets.

"If the committee could take the requested action in the name of the public interest, then the committee ostensibly could require newspapers to surrender their confidentiality rights, attorneys to surrender their attorney-client privilege, (and) psychiatrists to surrender their privileges," the judge wrote.

The Senate Select Committee to Investigate Market Manipulation has subpoenaed documents from a number of energy firms to probe accusations California power agencies and utilities were overcharged some \$8.9 billion for wholesale electricity during the state's energy crisis which saw power prices in the state soar tenfold.

Independent energy merchants have blamed the price spike on the state's poorly designed electricity deregulation law and a failure to build enough power plants to meet the growing needs of its 34 million residents and its industries.

An Enron spokeswoman said on Thursday the firm has already turned over tens of thousands of documents, but wanted assurances that certain sensitive documents containing proprietary trade secrets, for example, would be protected under a confidentiality agreement.

The firm will now work with the committee to hammer out the specifics of such an agreement, said Enron spokeswoman Karen Denne.

"We are pleased with the judge's order in that he agreed that our constitutional right would be protected," Denne said. "The issue has always been protecting the confidential documents."

The committee has already asked the full Senate to cite Enron as well as Reliant Energy Inc. for contempt for failing to comply with a subpoena seeking confidential documents. It would be the first such citation imposed by the state Senate since 1929, but has not yet come up for a vote.

Atlanta-based Mirant Corp. however, avoided the contempt threat by agreeing with legislators' demands to sign confidentiality agreements, open a document depository close to Sacramento, and begin placing documents there relating to the company's recent business in California.

Sacramento judge says committee must protect Enron documents

By JENNIFER COLEMAN

Associated Press Writer

09/06/2001

Associated Press Newswires

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SACRAMENTO (AP) - Enron Corp. must turn over sensitive financial documents to a state Senate committee investigating possible price manipulation of wholesale energy prices, a judge ruled Thursday, but the state must give the energy company a confidentiality agreement.

Sacramento Superior Court Judge Charles Kobayashi said in his ruling that he wasn't convinced that the Senate committee "will be able to maintain the petitioner's right to confidentiality."

The Select Committee to Investigate Price Manipulation in the Wholesale Energy Market subpoenaed documents from six energy companies as they investigated last year's price spikes in the wholesale electricity market.

If the committee went forward without a confidentiality agreement, Kobayashi said, it could then require the same of newspapers, attorneys or psychiatrists.

Enron's motion to quash the subpoenas were dismissed last week and the judge reaffirmed that ruling Thursday. Another Enron motion seeking an injunction against the committee will be heard Wednesday.

Company spokeswoman Karen Denne called the protective order ruling a victory. "This gives us the confidentiality agreement we've been seeking."

The order's specifics will be worked out with Sen. Joe Dunn, D-Santa Ana, the committee chairman. It will then be signed by a judge, once both sides agree.

Enron officials have offered to turn over 25,000 documents that were already in California, but refused to comply with the rest of the subpoena.

The committee found Enron in contempt for not turning over all the requested documents. A full report on the contempt finding has been sent to the full Senate, which has not voted on it. A contempt report on Reliant Energy has also been sent to the Senate.

A contempt finding against Mirant Corp. was later reversed when the company opened a document depository in Sacramento for the committee's investigators.

If the full Senate imposes sanctions against Reliant or Enron, it will be the first time since 1929, when the Senate voted to jail reluctant witnesses during a committee investigation of price fixing and price gouging involving cement sales to the state.